The Diageo put, drawn

Where the money sits, where it moves, and where it never shows up.

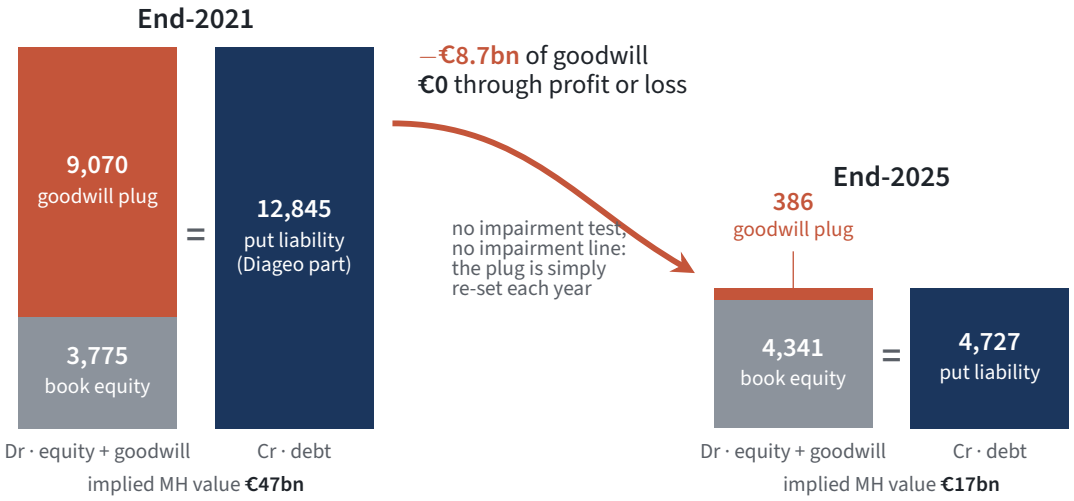
The set-up in four facts. Diageo owns 34% of Moët Hennessy (MH). LVMH owns 66% and consolidates 100%. Diageo can make LVMH buy the 34% at any time, on six months' notice, for 80% of MH's fair value. IAS 32.23 makes that promise a liability. LVMH books the other side of the entry, and every later change, in **goodwill**, never in profit.

Put liability · Diageo's share of MH book equity · Goodwill "plug" (value above book) · Profit or loss

1 · THE ENTRY

The liability is built from two blocks, and one of them has almost vanished

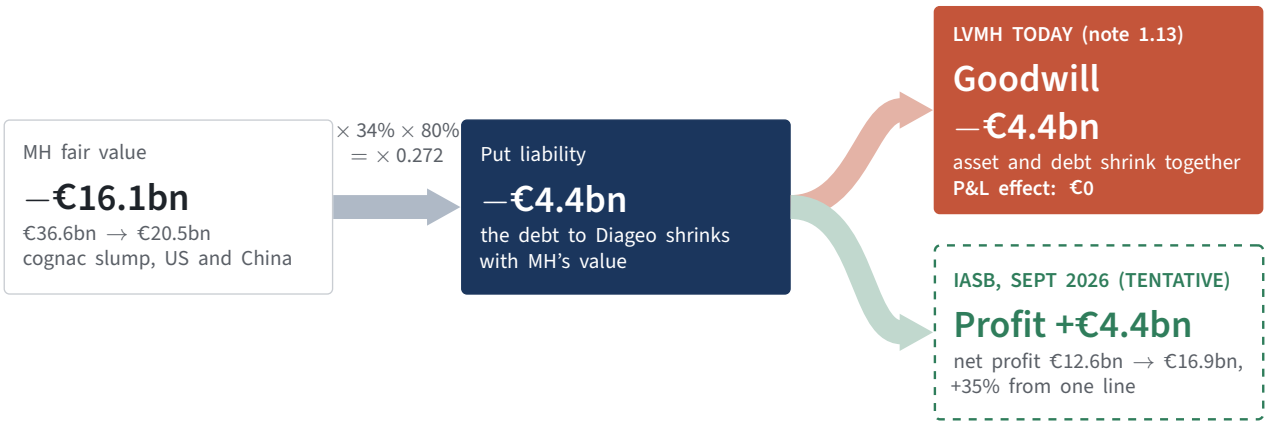
Each year LVMH removes Diageo's minority interest from equity and writes up a put liability of 80% of fair value. The gap between the two is parked in goodwill. Same scale for both years.



EUR m. Goodwill plug: FD 2021 note 4 (p. 41), FD 2025 note 4 (p. 40). Book equity: Diageo share of accumulated minority interests, FD 2021 note 17/18 (p. 52), FD 2025 note 18 (p. 53). Liability = sum of the two (the plug also holds small pre-2010 puts, so treat as "about"). Implied MH value = liability ÷ 0.8 ÷ 0.34.

2 · THE FLOW

Follow FY2024: a €16bn fall in value, two possible exits



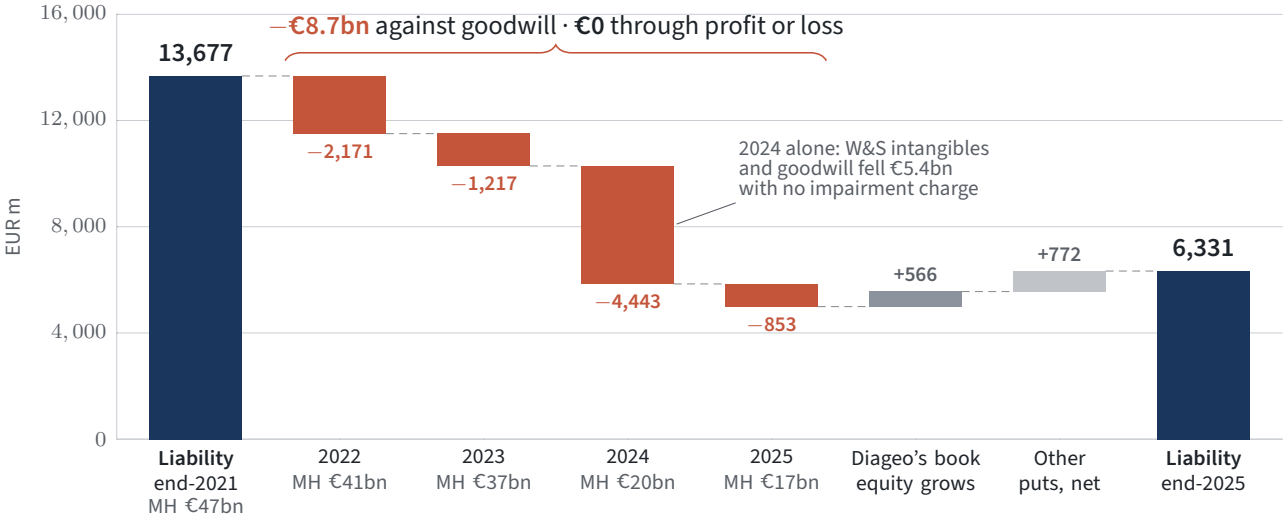
The counter-intuitive bit: when Diageo's stake loses value, LVMH owes Diageo less. Under the IASB route a *collapse* shows up as a *gain*; LVMH's route hides both. Rule of thumb: every €1bn of MH value moves the liability by about €0.27bn.

FY2024. MH value: FD 2023/2024 notes 4, 18. Goodwill movement —€4,378m: FD 2024 note 4 (p. 40). Net profit: FD 2025 p. 24. IASB Update, Sept 2026. Pre-tax.

3 · THE BRIDGE

From €13.7bn to €6.3bn: almost all of it is lost value, booked against goodwill

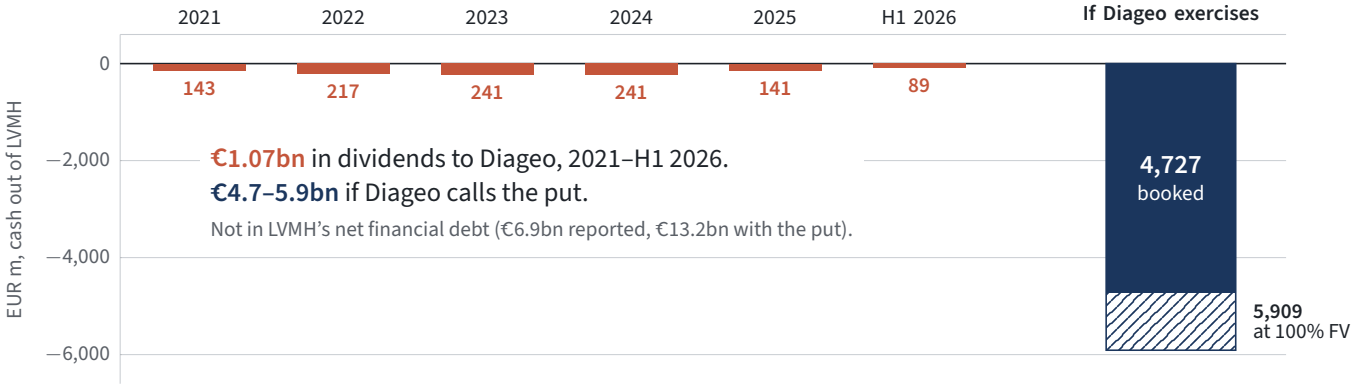
The balance-sheet line “purchase commitments for minority interests’ shares”, end-2021 to end-2025. Each orange step is one year’s fall in the goodwill plug, i.e. one year’s fall in what LVMH thinks MH is worth above book.



EUR m. Liability: FD 2021 and FD 2025 balance sheets (p. 26). Goodwill steps = change in “goodwill arising on purchase commitments” balance, FD 2021–25 note 4 (sum −8,684; the note-4 movement line sums to −8,717, the gap is FX and other). Book equity: note 18. Other puts, net = residual (Loro Piana, Middle-East distributors; post-2010 puts that go through equity). W&S intangibles: FD 2025 note 24.1 (pp. 62–63).

4 · THE CASH

Money out to Diageo: a trickle every year, a wave on six months’ notice

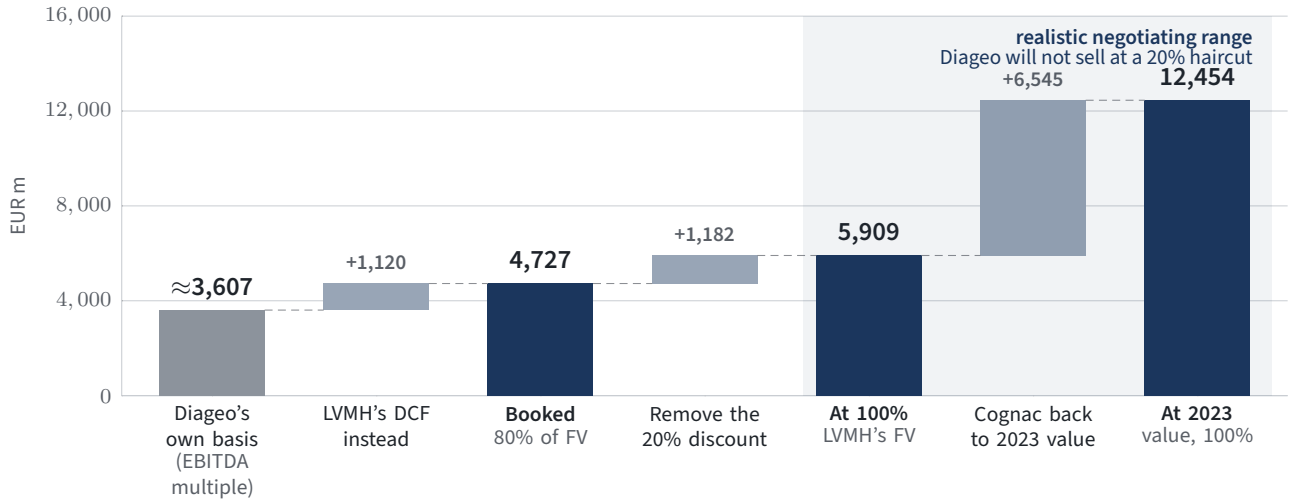


Dividends paid to Diageo: FD 2021–25 note 17/18 (pp. 52–53); H1-2026 HFR note 18 (p. 42). Exercise: FD 2025 note 21 (p. 56), six months’ notice at 80% of fair value. Net financial debt excludes purchase commitments: FD 2025 note 19.1 (p. 53).

5 · THE PRICE

What the acquirer would really pay for Diageo’s 34%

The balance sheet shows one number. It is 80% of a DCF taken at the bottom of the cognac cycle. The ladder below climbs from the partner’s own valuation to the pre-slump one.



EUR m, Diageo’s part only. Booked = goodwill plug + book equity, FD 2025 notes 4 and 18 (pp. 40, 53). 100% = 4,727 ÷ 0.8. 2023 value = 9,963 ÷ 0.8 (FD 2023 notes 4 and 18). Diageo’s basis: solved from Diageo AR 2026 note 6 (printed p. 157) impairment sensitivity; different date, FX and policies, so indicative only.